# 3.5.3 Choosing sources of finance

Unit 3.5 Financial management · 8 key points

- **Internal source:** money from inside the business, e.g. retained profit
- **External source:** money from outside, e.g. loans or share capital
- **Retained profit:** profit kept in the business rather than paid as dividends
- **Retained profit benefits:** no interest, no loss of control
- **Retained profit drawbacks:** limited amount; may already have been spent on assets
- **Short-term finance:** for day-to-day needs and cash gaps
- **Long-term finance:** for large investments such as new premises or machinery
- **Matching:** use short-term finance for short-term needs and long-term finance for long-term needs